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May 15, 2025

To the Limited Partners of Matrix Partners VII, L.P., Matrix Partners VIII, L.P., Matrix Partners IX, L.P., Matrix Partners X, L.P., Matrix Partners XI, L.P., and Matrix Partners XII, L.P.:

The year got off to a challenging start, with markets declining in the first quarter (S&P -10% and NASDAQ -5%). Ongoing uncertainty about the direction of the U.S. economy and global trade dynamics — particularly in the face of the newly announced tariffs and their potential ripple effects — weighed heavily on Q1 markets and continues to stoke volatility into the second quarter. The U.S. economy contracted in the first quarter with a 0.3% annualized decline in GDP - the first quarterly decline since the beginning of 2022. The decrease was driven primarily by a surge in imports ahead of potential tariffs which caused a five percentage point drop in GDP - the largest such impact in over seventy years. Private sector demand by consumers and businesses grew 3% in line with the trend of the past year, and strong orders for data for March showed business investment accelerating as reshoring surges in response to the tariffs. The U.S. labor market outpaced expectations in March, adding 228,000 jobs, with the largest gains concentrated in health care, social assistance, and transportation and warehousing. As anticipated, federal government employment declined during the quarter with a loss of 15,000 jobs. The unemployment rate rose slightly to 4.2% in March, remaining within the narrow band it has occupied since May 2024. Inflation continued to ease, with the annualized rate falling to 2.4% in March, just slightly above the Federal Reserve's 2% target. Core inflation (excluding food and energy) also declined to 2.8% from 3.2% in December, indicating that underlying price pressures are gradually easing. Despite these encouraging market indicators, overall market sentiment weakened significantly in the first quarter as financial markets grappled with persistent volatility and macroeconomic uncertainty.

In the first quarter, venture capital activity reflected an increasingly selective investment environment. While total deal value rose 18% to \$91.5 billion across 3,003 companies, deal count declined by 11%, underscoring a growing investor preference for fewer but larger bets. Compared to the same period last year, the trend was even more pronounced - capital raised surged by 116%, despite a 25% drop in the number of funded companies. Mega-rounds, or deals exceeding \$100 million, remained the key driver, accounting for \$68.8 billion, or three-quarters, of total deal value, while comprising just 3% of total deal volume. In contrast, early-stage activity struggled: seed and pre-seed rounds saw deal value fall by 21%, while early-stage rounds declined 24%. Later stage venture, or venture growth, however, was a bright spot with deal value soaring by 90% quarter-over-quarter.

Despite elevated hopes for a liquidity rebound in 2025, the year began with mixed signals. The first quarter delivered the highest quarterly exit value in over three years, totaling \$56.2 billion across 286 transactions and marking a 36% increase from the previous quarter. However, this headline growth masked underlying exit concentration, as nearly 40% of the total value came from Coreweave's IPO. Overall exit volume declined 18%, reinforcing the view that liquidity remains limited to a small number of headline outcomes. While public listing values doubled to \$25.9 billion compared to Q4 2024, the number of IPOs dropped 14% to just 12 deals, once again reflecting the outsized impact of Coreweave's transaction rather than signaling a broad market resurgence. The delay of Klarna's highly anticipated IPO further highlights lingering volatility and investor hesitation, suggesting that while headline exits may draw attention, a broader recovery remains uncertain. Continued market volatility following quarter-end has added to the challenges, with unpredictable public market conditions extending IPO timelines and making strategic acquirers increasingly cautious.

Fundraising remained challenged in the first quarter, as tight liquidity conditions continued to constrain capital formation. A total of \$10.0 billion was raised across 87 funds, representing a 9% decline in value and a sharp 32% drop in fund count compared to Q4 2024. Interestingly, while the number of funds exceeding \$500 million rose by 20%, the overall number of funds closed declined by the same percentage, reflecting a continued concentration in fewer, larger vehicles. Notably, six funds accounted for \$4.2 billion, or 42% of total capital raised, despite representing just 7% of fund count. Only one fund reached the billion-dollar mark in the first quarter, raising \$1.0 billion, a significant drop from the \$3.4 billion raised by a single fund in Q4. These two mega-funds represented very different portions of the broader fundraising trend, with the \$1 billion fund representing only 1% of the total funds raised in Q1 and the \$3.4 billion fund making up 65% of total fundraising value in Q4. This shift towards smaller fund vehicles signals continued investor caution and a more measured approach to capital deployment in an environment marked by limited liquidity and market uncertainty.

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In these turbulent times, we believe it is even more important to stick to our strategy of pursuing the very best technical founders as early as possible for projects that are manifestly important, regardless of where we find ourselves in the economic cycle. Fortunately, there are still plenty of areas to invest in across our core categories as we are still very early in the AI transformation phase of the technology landscape. And though the current environment may be more challenging for some of our scaling companies, we remain committed to helping the portfolio navigate the macroeconomic headwinds at all stages of growth.

Details on portfolio activity during the quarter can be found in the fund-specific letters that follow.

Sincerely,
Matrix Partners



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May 15, 2025

To the Limited Partners of Matrix Partners IX, L.P.:

- Cumulative portfolio value (investment portfolio plus cumulative realized value) decreased \$63.1 million during the quarter, to a total of \$2.7 billion (5.5x cost). The \$63.1 million of depreciation in the portfolio is a result of \$67.5 million of markdowns in the private portfolio, offset by a \$4.4 million increase in the public price of Markforged.
- Cumulative value to Limited Partners (equity plus distributions) decreased \$44.7 million during the quarter, to a total of \$1.8 billion (4.5x contributed capital). The decrease is the result of the portfolio depreciation discussed above, augmented by operating activity.
- From the first capital call in October 2010, the Partnership has invested \$487.4 million (108% of committed capital). This portfolio has appreciated 452% and is currently valued at \$2.7 billion. As of March 31, 2025, the Partnership held securities in one public company, Markforged, with a fair value of \$13.3 million and a cost of \$11.7 million, and 11 private companies (including one seed) with a fair value of \$1.4 billion and a cost of \$158.6 million.

There were no incremental investments during the quarter.

During the quarter, two portfolio companies were sold and two portfolio companies were marked down. On January 31, 2025, **Zest** was acquired by Insight Partners for \$200.0 million cash. The Partnership's share of the transaction was \$10.2 million, representing a total gain of \$4.0 million. The Partnership received \$10.0 million of proceeds at closing that resulted in a realized gain of \$3.9 million. There was no change in portfolio value as the investment had been marked to expected proceeds in the prior quarter. The remaining \$0.2 million is subject to escrow. This transaction, combined with the 2022 share repurchase, produced a cumulative total gain of \$4.4 million and a realized gain of \$4.2 million. On February 14, 2025, **Machinify** was acquired by New Mountain Capital for cash and rollover shares. The terms of the deal are confidential. The Partnership's share of the transaction was \$40.2 million, which includes \$17.3 million of cash and \$22.9 million of rollover shares in the go-forward business, which will be operated under the Machinify name. Share proceeds and cash proceeds of \$16.9 million were received in February and the remaining \$0.4 million is subject to escrow. The transaction resulted in a realized gain of \$16.0 million. There was no change in portfolio value as the shares had been marked to expected proceeds in the prior quarter. **Apollo**, previously carried at a total company value of \$750.0 million, or \$2.92 per share, was marked down to a total company value of \$500.0 million, or \$1.87 per share, resulting in a decrease in portfolio value of \$52.6 million. The company is behind plan and making product changes to address the mid-market customer segment and therefore re-accelerate growth. **Fabletics**, previously carried at a total company value of \$1.0 billion, or \$17.74 per share, was marked down to a total company value of \$750.0 million, or \$13.33 per share, resulting in a decrease in portfolio value of \$14.9 million. The company's supply chain relies on imports which will be severely impacted by the new tariff regime. The Partnership held cash of \$42.0 million on March 31, 2025, and the net loss from operations for the quarter was \$0.9 million.

Please be aware that both this letter and the enclosed materials are subject to the confidentiality provision of the Partnership Agreement. If for any reason you believe you may be unable to maintain the confidentiality of these documents, please review them and then return them to us, without retaining copies in your files. If you have any questions about any aspect of the Partnership, please feel free to contact us.

Sincerely,
MATRIX IX MANAGEMENT CO., L.L.C.

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Matrix Partners IX, L.P.

Financial Statements
(Unaudited)

March 31, 2025

The information contained herein is the non-public information of the Fund and its portfolio companies, and is considered confidential information. Any use, copying, dissemination, or disclosure of this document or its contents would cause the Fund, its portfolio companies, and the general partner irreparable harm and is strictly prohibited.

Matrix Partners IX, L.P.

Statement of assets, liabilities, and partners' capital

(Unaudited)

March 31, 2025

Assets

Portfolio investments, at fair value (cost of \$170,355,378)	\$ 1,371,293,977
Cash and cash equivalents	41,961,060
Receivables - Securities sold	307,044
Other current assets	93,901
Total assets	<u>\$ 1,413,655,982</u>

Liabilities

Accounts payable and accrued expenses	\$ 61,753
Total liabilities	61,753

Partners' Capital

Contributed capital	\$ 406,620,000
Distributions to partners	(1,078,991,312)
Cumulative investment performance:	
Net investment loss	(118,708,685)
Net realized gain from investments	1,003,735,627
Net unrealized appreciation on investments	1,200,938,599
Increase in net assets resulting from operations	2,085,965,541
Total partners' capital	1,413,594,229
Total liabilities and partners' capital	<u>\$ 1,413,655,982</u>

Matrix Partners IX, L.P.
Investment portfolio
(Unaudited)
March 31, 2025

The Partnership invests in high-technology companies located in the United States and Cayman Islands. Unless otherwise noted, shares held of privately held securities represent the common stock equivalents of convertible preferred shares.

	Shares Held	Cost		Fair Value		Percentage of Partners' Capital	Unrealized Appreciation (Depreciation)
	(CSE)	Per Share	Total	Per Share	Total		
Publicly traded							
Markforged Holding Corporation Common stock	2,849,592	\$ 4.11	\$ 11,714,109	\$ 4.68	\$ 13,336,091	0.9%	\$ 1,621,982
Subtotal - Publicly traded			11,714,109		13,336,091	0.9%	1,621,982
Privately held							
Apollo Graph, Inc. (dba Apollo)	50,132,502	0.89	44,381,925	1.87	93,669,692	6.6%	49,287,767
Canva, Inc.	433,245	7.02	3,042,641	1,066.66	462,125,588		459,082,947
Common stock	409,895	1.82	745,493	1,066.66	437,219,052		436,473,559
			3,788,134		899,344,640	63.6%	895,556,506
CloudBees, Inc.	11,440,863	1.84	21,018,174	1.84	21,018,174	1.5%	-
Continental TopCo., L.P (dba Machinify) Common stock	125,743	8.83	1,109,775	181.84	22,865,036	1.6%	21,755,261
Fabletics, Inc.	3,368,622	6.33	21,309,867	13.33	44,903,652	3.2%	23,593,785
Klip, Inc.	9,709,874	0.01	95,240	0.44	4,254,542	0.3%	4,159,302
Salsify, Inc.	8,585,268	3.73	32,056,224	15.57	133,690,407		101,634,183
Common stock	57,416	14.56	835,977	14.56	835,977		-
			32,892,201		134,526,384	9.5%	101,634,183
Savage X Holding, LLC Common stock	3,368,622	0.51	1,717,997	0.25	858,998	0.1%	(858,999)
Sila Nanotechnologies, Inc.	7,411,196	3.00	22,209,962	16.42	121,668,419	8.6%	99,458,457
Trax Ltd. Common stock	260,712	36.76	9,584,533	52.14	13,592,481	1.0%	4,007,948
Pending Escrow			-		722,407	0.1%	722,407
Seed Investments			533,461		533,461	0.0%	-
Subtotal - Privately held			158,641,269		1,357,957,886	96.1%	1,199,316,617
Total Portfolio Investments			\$ 170,355,378		\$ 1,371,293,977	97.0%	\$ 1,200,938,599
Cumulative Net Realized Capital Gain			\$ 317,009,095		\$ 1,320,744,722		\$ 1,003,735,627
Cumulative Portfolio Value			\$ 487,364,473		\$ 2,692,038,699		\$ 2,204,674,226

Matrix Partners IX, L.P.
Statement of operations
(Unaudited)
Quarter Ended March 31, 2025

Investment income:

Income from cash and cash equivalents	\$ 261,347
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Expenses:

Management fee	1,125,000
Professional fees	38,534
Other expenses	9,172
Total expenses	<u>1,172,706</u>

Net investment loss	<u>(911,359)</u>
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Realized and unrealized gain (loss) from investments:

Net realized gain from investments	19,904,264
Net unrealized depreciation on investments	<u>(83,026,960)</u>

Net loss from investments	<u>(63,122,696)</u>
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Net decrease in net assets resulting from operations	<u><u>\$ (64,034,055)</u></u>
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Matrix Partners IX, L.P.

Statement of changes in partners' capital

(Unaudited)

Quarter Ended March 31, 2025

	Net Assets		
	General	Limited	
	Partner	Partners	Total
Increase (decrease) in net assets from operations:			
Net investment loss	\$ (9,115)	\$ (902,244)	\$ (911,359)
Net realized gain from portfolio investments	6,110,610	13,793,654	19,904,264
Net unrealized depreciation on portfolio investments	(25,489,277)	(57,537,683)	(83,026,960)
Net decrease in net assets resulting from operations	(19,387,782)	(44,646,273)	(64,034,055)
Withholdings for foreign partners	-	(8,989)	(8,989)
Total decrease in net assets	(19,387,782)	(44,655,262)	(64,043,044)
Net assets at beginning of period	423,927,523	1,053,709,750	1,477,637,273
Net assets at end of period	\$ 404,539,741	\$ 1,009,054,488	\$ 1,413,594,229

Matrix Partners IX, L.P.

Statement of cash flows

(Unaudited)

*Quarter Ended March 31, 2025***Cash flows from operating activities:**

Net decrease in net assets from operations	\$ (64,034,055)
Adjustments to reconcile net decrease in net assets from operations to net cash provided by operating activities:	
Proceeds from portfolio investments	26,896,575
Increase in other current assets	(66,971)
Increase in accounts payable and accrued expenses	5,878
Unrealized depreciation on investments	83,026,960
Net realized gain from investments	<u>(19,904,264)</u>
Net cash provided by operating activities	<u>25,924,123</u>

Cash flows from financing activities:

Withholdings for foreign partners	<u>(8,989)</u>
Net cash used in financing activities	<u>(8,989)</u>

Net increase in cash and cash equivalents	25,915,134
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Cash and cash equivalents, beginning of period	<u>16,045,926</u>
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Cash and cash equivalents, end of period	<u><u>\$ 41,961,060</u></u>
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